

Market Overview

Broker Selection RFP:

Hotel Portfolio at Grand Boulevard Sandestin

COURTYARD | Residence INN | HYATT PLACE

DESTIN/MIRAMAR BEACH

Florida

HWE

PRESENTING TO

Howard Group

Sandestin / South Walton Market Overview

VISIT South Walton FLORIDA

South Walton is one of Florida's premier leisure destinations and one of its most supply-constrained coastal resort markets. About 40% of the land south of Choctawhatchee Bay is protected, and the land between Grand Boulevard and the Gulf is largely golf course and protected land, which limits new coastal development. In Miramar Beach, activity is centered on Grand Boulevard, South Walton's main mixed-use town center. Nearby are the area's white-sand Gulf beaches, four golf courses (three open to public play), the Village of Baytowne Wharf, and the shopping, state parks and charter fishing of greater Destin.

Population growth continues to expand the base. Population within five miles of Grand Boulevard grew 55.7% from 2020 to 2025 and is projected to grow a further 17.5% by 2030. Walton County grew 23.9% from 2020 to July 2025, reaching approximately 93,300 residents, and the Crestview–Fort Walton Beach–Destin MSA grew 10.4% to approximately 316,700 residents.

~40%
Of Land South Of Choctawhatchee Bay Is Protected

Supply-Constrained Resort Market

4
Golf Course And Protected Land Between Grand Boulevard And The Gulf Limit New Coastal Development.

Grand Boulevard
Miramar Beach's Activity Hub And South Walton's Main Mixed-Use Town Center

Gulf beaches
White-Sand Beaches, Baytowne Wharf, Destin Shopping, State Parks And Charter Fishing

Premier Leisure Destination

+55.7%
Population Growth Within 5 Miles Of Grand Boulevard

2020 to 2025

+17.5%
Further Population Growth Within 5 Miles Of Grand Boulevard

2025 to 2030 (Projected)

+23.9%
Walton County Population
~93,300 Residents

2020 to July 2025

+10.4%
Crestview-Fort Walton Beach-Destin MSA
~316,700 Residents

2020 to July 2025

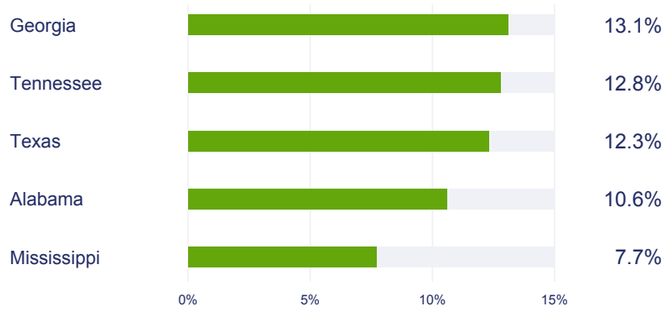


South Walton Tourism & Visitor Profile

In 2025, Walton County welcomed 4.5 million visitors, generating more than 3.9 million room nights, $3.9 billion in direct spending and $4.7 billion in total economic impact. Visitors stay an average of 6.4 nights, 95% plan to return, and more than 34% have visited 10 or more times.

South Walton is primarily a drive-to destination: 74% of visitors arrive by car, or roughly 3.3 million drive-in visitors a year. Miramar Beach sits on US Highway 98, Florida's main east-west Gulf Coast corridor, which carries nearly 48,000 vehicles per day past Grand Boulevard. Approximately 16 million people live within a five-hour drive and more than 84 million within ten hours, with Birmingham, New Orleans and Atlanta each within five hours. Roughly 68% of visitors come from the Southeast, led by:

68%
OF VISITORS COME FROM SOUTHEAST



The largest source markets are Atlanta, Nashville, Dallas-Fort Worth, Birmingham, Houston and Memphis.

South Walton's visitors are as affluent as its residents. Visitor households average $197,500 in income, and one-third earn more than $200,000. Residential values reflect the same profile: South Walton communities post the highest residential prices per square foot on the Emerald Coast, and Sandestin and Miramar Beach average more than $500 per SF, above Destin and Panama City Beach.

HOTEL PORTFOLIO AT GRAND BOULEVARD SANDESTIN

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4.5M VISITORS

3.9M+ ROOM NIGHTS

$3.9B DIRECT SPENDING

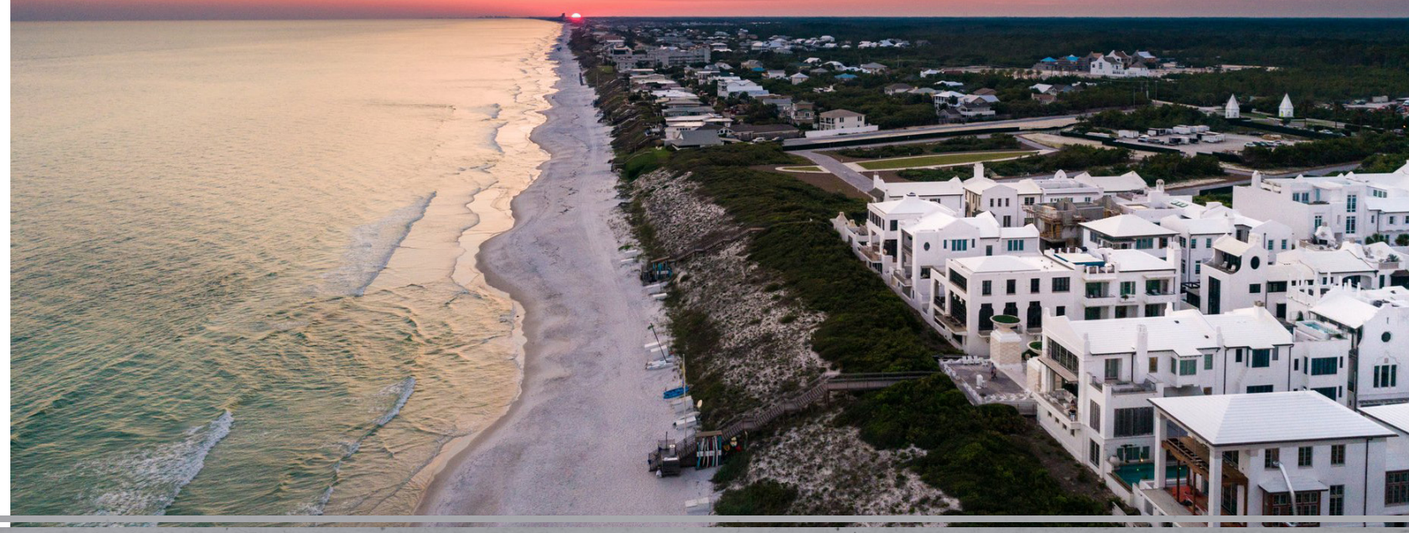
$4.7B TOTAL ECONOMIC IMPACT

6.4 NIGHTS PER AVERAGE STAY

95% PLAN TO RETURN

34%+ HAVE VISITED 10+ TIMES

~3.3M DRIVE-IN VISITORS PER YEAR



Grand Boulevard

HOTEL PORTFOLIO AT GRAND BOULEVARD SANDESTIN

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Grand Boulevard is a $500 million mixed-use lifestyle center and the highest-end retail destination between Pensacola and Jacksonville. Retail sales average approximately $850 per square foot and are trending toward $1,000. A full-time events department programs the center year-round, including the 30A Songwriters Festival, the South Walton Beaches Wine & Food Festival, holiday events and live concerts.

A CURATED, BEST-IN-CLASS TENANT ROSTER

Grand Boulevard's tenant mix sets it apart from any other retail destination on the Emerald Coast. The center brings together national luxury and premium brands, including Anthropologie, Arhaus, Lululemon, Peter Millar, Pottery Barn, Williams Sonoma and Lilly Pulitzer, alongside established regional operators. Tommy Bahama operates a full-concept store and restaurant on the Boulevard, reportedly one of the brand's highest-grossing locations.

The quality of this roster creates a halo effect across Miramar Beach. Premium brands draw an affluent, destination-driven customer, raise the profile of the surrounding submarket and support premium room rates at nearby hotels. That same customer defines South Walton's visitor base. Howard Group also plans additional retail development on land adjacent to the Hyatt Place, further integrating the hotels into the retail core.

~$850 PSF
Retail Sales, Trending Toward $1,000 PSF

765,000 SF
Of Retail, Restaurant And Hotel Space, Planned To Exceed 1 Million SF

185,000 SF
Of Class A Office Space

200+
Events Annually

500
Residences Planned





GRAND BOULEVARD

A Curated, Best-In-Class Tenant Roster

ANTHROPOLOGIE · ARHAUS STUDIO · BRICKTOP'S · J.McLAUGHLIN In Present Company

KENDRA SCOTT · bluemercury makeup · skincare · spa · lululemon · PETER MILLAR

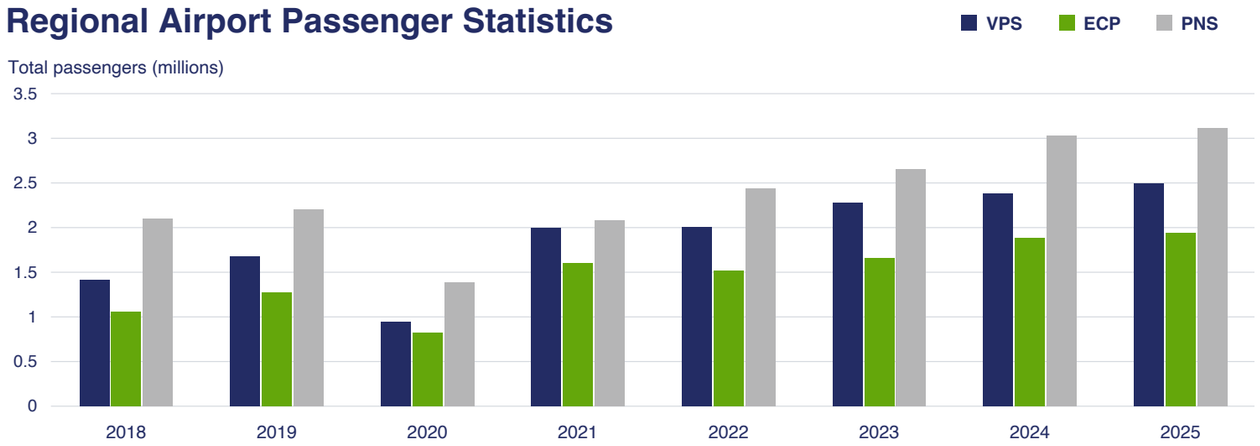
Lilly Pulitzer · POTTERY BARN · WILLIAMS SONOMA · WARBY PARKER

Regional Airlift

THREE COMMERCIAL AIRPORTS SERVE THE MARKET:

- Destin–Fort Walton Beach Airport (VPS): the closest to Miramar Beach. VPS handled 2.58 million passengers over the 12 months ended September 2026, up 4.0% year over year, following a record 2025. Allegiant, American, Delta and Southwest have expanded service there, connecting the market to origin cities across the Southeast, Midwest and Northeast.
- Northwest Florida Beaches International Airport (ECP): surpassed 2 million TTM passengers for the first time in July 2026 and has broken ground on an $85 million North Terminal expansion.
- Pensacola International Airport (PNS): set a record with 3.1 million passengers in 2025 and is building a $113 million terminal expansion.

Regional Airport Passenger Statistics









Fort Walton Beach Submarket Lodging Performance

HOTEL PORTFOLIO AT GRAND BOULEVARD SANDESTIN

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The Fort Walton Beach submarket includes Destin and Miramar Beach. It is the largest of the Florida Panhandle's five submarkets, with approximately 13,000 hotel rooms. Over the trailing 12 months it achieved an ADR of $177 and RevPAR of $105, the highest in the Panhandle and a 17% and 15% premium, respectively, to the market overall. RevPAR grew 2.6%, compared with 1.2% for the Panhandle.



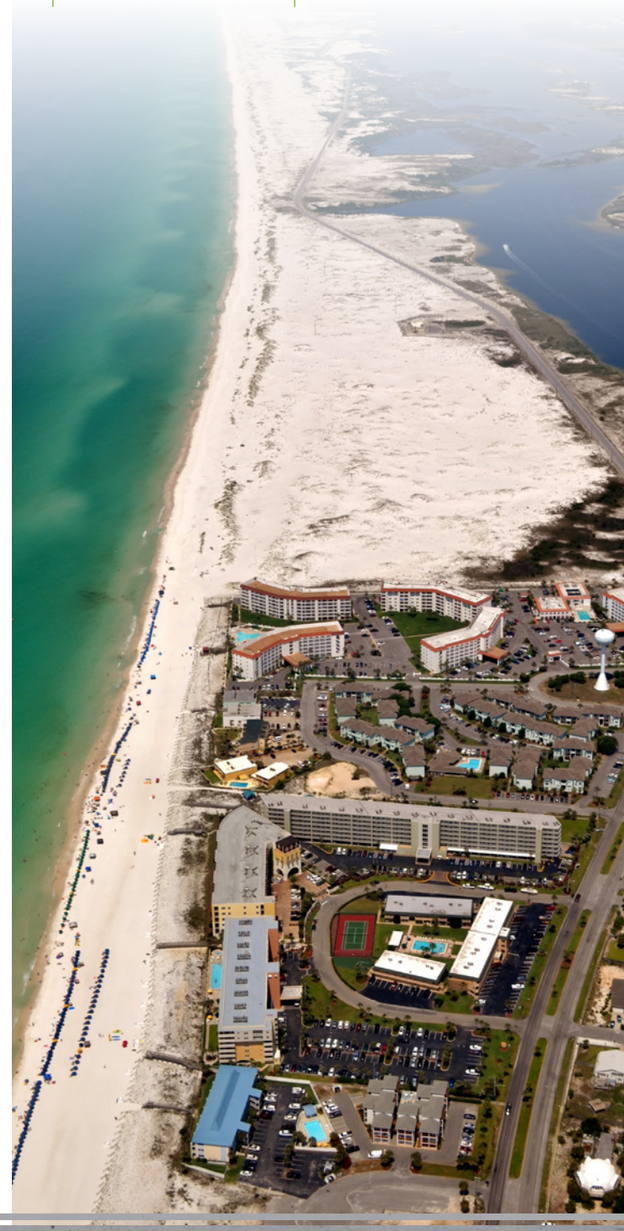
Year	Occ.	% Δ	ADR	% Δ	RevPAR	% Δ	Supply	% Δ	Demand	% Δ
2000	56.7%	•••	$94.95	•••	$53.86	•••	2,999,943	•••	1,701,592	•••
2001	55.3%	-2.5%	$95.82	0.9%	$52.98	-1.6%	3,121,870	4.1%	1,726,241	1.4%
2002	56.6%	2.3%	$98.56	2.9%	$55.78	5.3%	3,210,795	2.8%	1,817,058	5.3%
2003	59.0%	4.2%	$100.65	2.1%	$59.34	6.4%	3,269,199	1.8%	1,927,455	6.1%
2004	62.7%	6.4%	$103.25	2.6%	$64.76	9.1%	3,251,454	-0.5%	2,039,395	5.8%
2005	65.4%	4.3%	$109.97	6.5%	$71.95	11.1%	3,176,212	-2.3%	2,077,921	1.9%
2006	59.1%	-9.7%	$121.62	10.6%	$71.87	-0.1%	3,347,215	5.4%	1,978,024	-4.8%
2007	54.4%	-7.9%	$128.38	5.6%	$69.85	-2.8%	3,499,722	4.6%	1,904,165	-3.7%
2008	48.8%	-10.3%	$127.87	-0.4%	$62.40	-10.7%	3,573,357	2.1%	1,743,760	-8.4%
2009	47.0%	-3.7%	$119.32	-6.7%	$56.04	-10.2%	3,686,529	3.2%	1,731,564	-0.7%
2010	49.4%	5.2%	$107.49	-9.9%	$53.10	-5.3%	3,596,717	-2.4%	1,776,680	2.6%
2011	53.7%	8.6%	$116.40	8.3%	$62.46	17.6%	3,562,421	-1.0%	1,911,627	7.6%
2012	55.6%	3.7%	$123.37	6.0%	$68.63	9.9%	3,495,058	-1.9%	1,944,333	1.7%
2013	55.8%	0.3%	$126.18	2.3%	$70.42	2.6%	3,361,041	-3.8%	1,875,682	-3.5%
2014	57.1%	2.2%	$132.67	5.1%	$75.70	7.5%	3,501,250	4.2%	1,997,853	6.5%
2015	58.2%	1.9%	$138.72	4.6%	$80.68	6.6%	3,565,599	1.8%	2,073,712	3.8%
2016	60.0%	3.2%	$143.48	3.4%	$86.14	6.8%	3,585,002	0.5%	2,152,104	3.8%
2017	60.4%	0.6%	$148.06	3.2%	$89.40	3.8%	3,772,019	5.2%	2,277,564	5.8%
2018	64.1%	6.2%	$150.88	1.9%	$96.76	8.2%	3,830,644	1.6%	2,456,572	7.9%
2019	62.8%	-2.0%	$152.98	1.4%	$96.13	-0.6%	3,909,748	2.1%	2,456,858	0.0%
2020	48.8%	-22.4%	$141.41	-7.6%	$68.96	-28.3%	3,987,885	2.0%	1,944,732	-20.8%
2021	63.1%	29.5%	$192.58	36.2%	$121.59	76.3%	4,133,666	3.7%	2,609,808	34.2%
2022	60.7%	-3.8%	$189.15	-1.8%	$114.88	-5.5%	4,178,633	1.1%	2,537,851	-2.8%
2023	59.1%	-2.7%	$181.28	-4.2%	$107.18	-6.7%	4,214,904	0.9%	2,491,960	-1.8%
2024	58.3%	-1.4%	$173.07	-4.5%	$100.94	-5.8%	4,348,455	3.2%	2,536,105	1.8%
2025	57.9%	-0.7%	$176.85	2.2%	$102.37	1.4%	4,425,882	1.8%	2,561,974	1.0%
TTM Sep 2026	59.2%	•••	$177.35	•••	$104.93	•••	4,554,409	•••	2,694,630	•••
YTD Sep 2025	62.2%	•••	$187.93	•••	$116.81	•••	3,296,202	•••	2,048,746	•••
YTD Sep 2026	63.7%	2.5%	$187.88	0.0%	$119.67	2.5%	3,424,729	3.9%	2,181,402	6.5%

CAGR	Avg.					
2000-2019	57.1%		2.5%		3.1%	1.4%	2.0%
2000-2009	56.5%		2.6%		0.4%	2.3%	0.2%
2009-2025	57.2%		2.5%		3.8%	1.1%	2.5%

South Walton / Destin New Supply

Construction activity in the competitive market is limited. Of the 6 hotels (666 rooms) in the Destin, Miramar Beach and Grayton Beach pipeline, only the 76-room Series by Marriott, about 11 miles east, is under construction. The closest project, the 115-room Moxy, is controlled by Howard Group and not expected to open soon. The other 9 hotels (850 rooms) are 18 to 22 miles away in Freeport, Fort Walton Beach and Shalimar, outside the competitive market.

Property	Keys	Constr. Status	Address	Drive Dist. (mi)
MOXY Destin	115	Final Planning	400 Grand Blvd	0.3
Holiday Inn Express Santa Rosa Beach FL	100	Proposed	4858 US Highway 98	4.0
Hampton Inn and Suites by Hilton Santa Rosa Beach	125	Final Planning	4379 U.S. 98 W	4.3
Fairfield by Marriott Inn & Suites Santa Rosa Beach	100	Final Planning	4850 US Highway 98	4.4
SpringHill Suites by Marriott Destin	150	Proposed	NWQ Vinings Way Blvd & Emerald Coast Pkwy	5.8
Series by Marriott Grayton Beach	76	Under Construction	207 Grayton Village Rd	11.4
LivSmart Studios by Hilton Fort Walton Beach	120	Final Planning	206 Perry Ave SE	17.8
Home2 Suites by Hilton Fort Walton Beach Okaloosa Island	105	Proposed	TBD Miracle Strip Pky SE	17.9
Home2 Suites by Hilton Freeport	126	Proposed	Hwy 331 & State Rd 3280	19.3
Holiday Inn Express & Suites Freeport FL	115	Proposed	County Hwy 3280 & Hwy 331	19.3
Sleep Inn Freeport	46	Proposed	16704 US 331 Highway	19.3
MainStay Suites Freeport	46	Proposed	16704 US 331 Highway	19.3
Hampton Inn by Hilton Fort Walton Beach Eglin Air Force Base	84	Under Construction	730 Eglin Pky NE	19.7
StudioRes by Marriott Shalimar	105	Final Planning	51 3rd St	22.1
Staybridge Suites Shalimar FL	103	Proposed	51 3rd St	22.1



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DESTIN / MIRAMAR BEACH

Florida

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